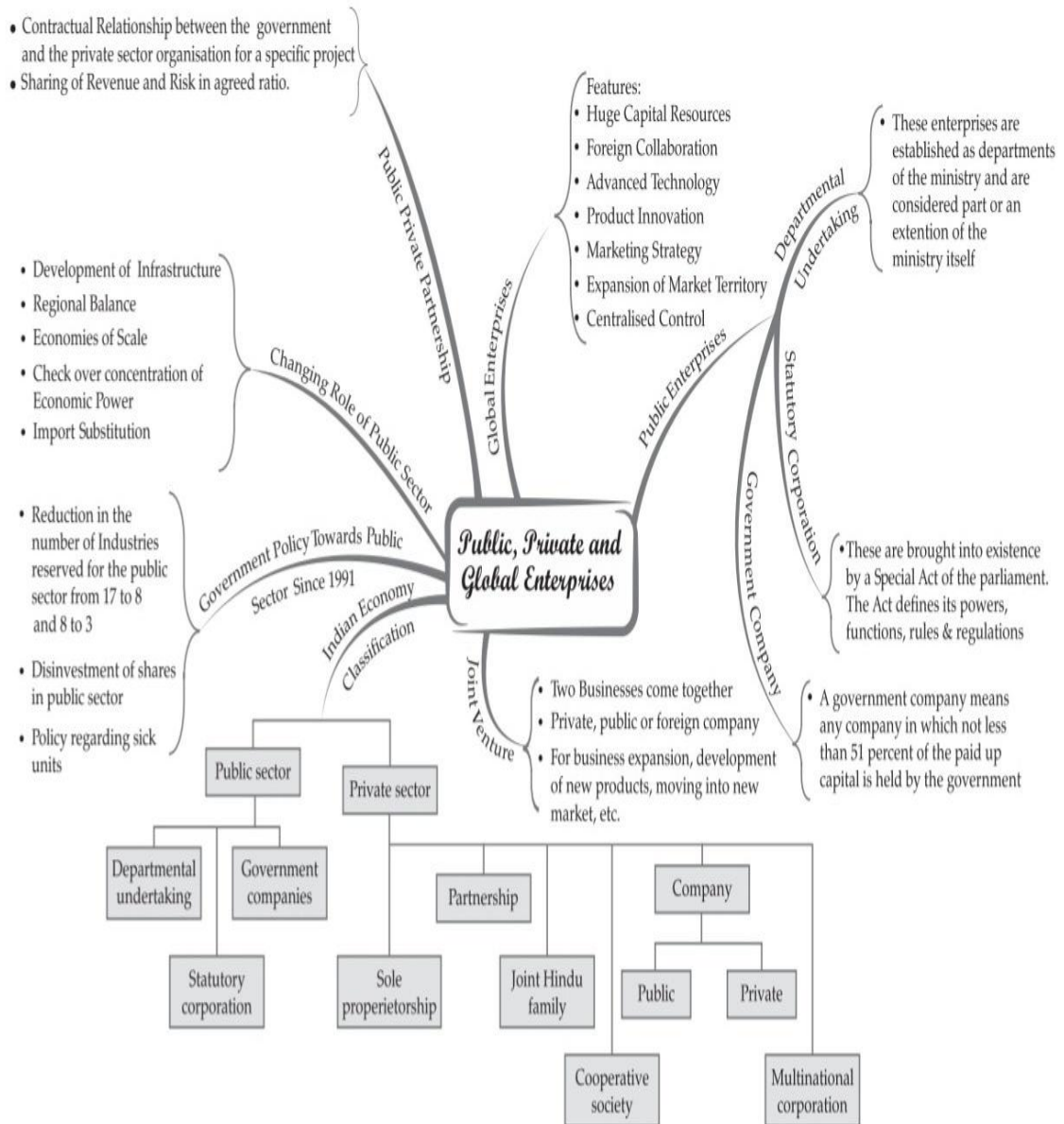


CH-03: PUBLIC, PRIVATE AND GLOBAL ENTERPRISES

(MIND MAP)



LEARNING OBJECTIVES:

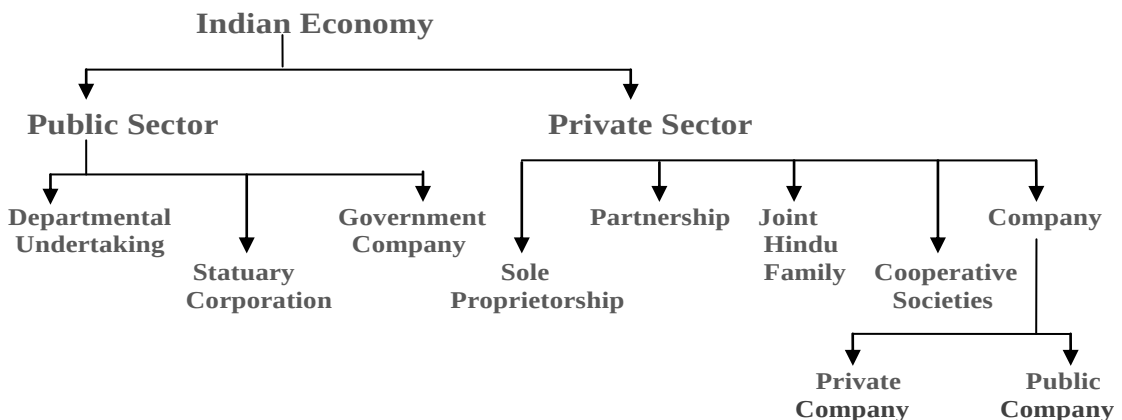
- *Concept of Public Sector & Private Sector Enterprises.*
- *Meaning, Features, Merits & Limitations of Departmental Undertaking, Statutory Corporation & Government Company.*
- *Meaning & Features of Global Enterprises.*
- *Meaning of Joint Venture, its types and benefits.*
- *Meaning & Features of Public Private Partnership.*

Private Sector Enterprise:- The Private sector consists of business owned by individuals or a group of individuals. The various forms of organisation are- Sole Proprietorship, Partnership, Joint Hindu Family, Co-operative & Company.

Public Sector Enterprise:- The Public sector consists of various organizations owned and managed by central or State or by both governments. The government participates in economic activity of the country through these enterprises.

Feature:

1. Capital is contributed by central or state or both govts.
2. Public welfare or Service is the main objective.
3. Management & control are in the hands of govt.
4. It is accountable to the public.



➤ **1. Departmental Undertaking:-**

These are established as departments of the ministry and are financed, managed and controlled by either central govt. or state govt. Examples: Indian Railways, Post & Telegraph departments.

Features:-

- (i) **No Separate Entity:** It has no Separate legal entity.
- (ii) **Finance:** It is financed by annual budget allocation of the govt. & all its earnings go to govt. treasury.
- (iii) **Accounting & Audit:** The govt. rules relating to audit & accounting are applicable to it.
- (iv) **Staffing:** Its employees are government employees & are recruited & appointed as per govt. rules.
- (v) **Accountability:** These are accountable to the concerned ministry.

Merits:-

- (i) It is more effective in achieving the objective laid down by government as it is under the direct control of government.
- (ii) It is a source of govt. income as its revenue goes to government treasury.
- (iii) It is accountable to parliament for all its actions which ensure proper utilization of funds.
- (iv) It is suitable for activities where secrecy and strict control is required like defence production.

Demerits:

- (i) It suffers from interference from minister and top officials in their working.
- (ii) It lacks flexibility which is essential for smooth operation of business.
- (iii) It suffers from red tapism in day to day work.
- (iv) These organizations are usually insensitive to consumer needs and do not provide goods & adequate service to them.
- (v) Such organization are managed by civil servants and government officials who may not have the necessary expertise and experience in management.

Suitability:

- (i) Where full Government control is needed.
- (ii) Where secrecy is very important such as defence.

➤ **2. Statutory Corporation:-**

It is established under a special Act passed in parliament or state legislative assembly. Its objectives, powers and functions are clearly defined in the special Act.

Examples: Unit Trust of India, Life Insurance Corporation etc

Features:-

- (i) It is established under a special act which defines its objects, powers and functions.
- (ii) It has a separate legal entity.
- (iii) Its management is vested in a Board of directors appointed or nominated by government.
- (iv) It has its own staff, recruited and appointed as per the provisions of act.
- (v) This type of enterprise is usually independently financed. It obtains funds by borrowing from govt. or from public or through earnings.
- (vi) It is not subject to same accounting & audit rules which are applicable to govt. department.

Merits:-

- (i) **Internal Autonomy:** It enjoys a good deal of autonomy in its day to day operations and is free from political interference.
- (ii) **Quick decisions:** It can take prompt decisions and quick actions as it is free from the prohibitory rules of govt.
- (iii) **Parliamentary control:** Their performance is subject to discussion in parliament which ensures proper use of public money.
- (iv) **Efficient Management:** Their directors and top executives are professionals and experts of different fields.

Demerits:-

- (i) In reality, there is not much operational flexibility. It suffers from lot of political interference.
- (ii) Usually they enjoy monopoly in their field and do not have profit motive due to which their working turns out to be inefficient.
- (iii) Where there is dealing with public, rampant corruption exists. Thus public corporation is suitable for undertaking requiring monopoly powers e.g. public utilities.

Suitability:

It is suitable for organizing public enterprise when,

- (a) The enterprise requires special power under an Act.
- (b) The enterprise requires a huge amount of capital investment.

➤ 3. Government Company:-

A government company is a company in which not less than 51% of the paid up share capital is held by the central government or state government or jointly by both.

Examples: Hindustan Insecticides Ltd., State Trading Corp. of India, Hindustan Cables Ltd etc.

Features:-

- (i) It is registered or Incorporated under companies Act 1956.
- (ii) It has a separate legal entity.
- (iii) Management is regulated by the provision of companies Act.
- (iv) Employees are recruited and appointed as per the rules & regulations contained in Memorandum and Articles of association.
- (v) The govt. Co. obtains its funds from govt. shareholdings and other private shareholdings. It can also raise funds from capital market.

Merits:-

- (i) It can be easily formed as per the provision of companies Act. Only an executive decision of govt. is required.
- (ii) It enjoys autonomy in management decisions and flexibility in day to day working.
- (iii) These are able to control the market and curb unhealthy business practices.

Limitations:

- (i) It suffers from interference from government officials, ministers and politicians.
- (ii) It evades constitutional responsibility which a company financed by the govt. should have as it is not directly answerable to parliament.

(iii) The board usually consists of the politicians and civil servants who are interested more in pleasing their political bosses than in efficient operation of the company.

Suitability:

(a) Where the private sector is also needed along with in govt.

(b) Where activities related to finance are to be encouraged.

➤ **Changing Role of Public Sector:-**

Public sector in India was created to achieve two types of objective –

(a) to speed up the economic growth of the country and

(b) to achieve a more equitable distribution of income and wealth among people.

The role and importance of public sector changed with time. Its role over a period of time can be summarized as following:

(i) Development of Infrastructure: At the time of independence, India suffered from acute shortage of heavy industries such as engineering, iron and steel, oil refineries, heavy machinery etc. Because of huge investment requirement and long gestation period, private sector was not willing to enter these areas. The duty of development of basic infrastructure was assigned to public sector which it discharged quite efficiently.

(ii) Regional balance: Earlier, most of the development was limited to few areas like port towns. For providing employment to the people and for accelerating the economic development of backward areas many industries were set up by public sector in those areas.

(iii) Economies of scale: In certain industries (like Electric power plants, natural gas, petroleum etc) huge capital and large base are required to function economically. Such areas were taken up by public sector.

(iv) Control of Monopoly and Restrictive trade Practices: These enterprises were also established to provide competition to Private Sector and to check their monopolies and restrictive trade practices.

(v) Import Substitution: Public enterprises were also engaged in production of capital equipments which were earlier imported from other countries. At the same time public sector Companies like STC and MMTC have played an important role in expending exports of the country. Very important role was assigned to public sector but its performance was far from satisfactory which forced govt. to do rethinking on public enterprises.

Public Sector Reforms:-

In the industrial policy 1991, the govt. of India introduced four major reforms in public sector.

(i) Reduction in No. of industries reserved for public sector: This no. is reduced from 17 to 8 & to 3 only in 2001. These three industries are atomic energy, arms and rail transport.

(ii) Memorandum of Understanding (MOU): Under this govt. lays down performance target for public sector and gives greater autonomy to hold the management but held accountable for the specified results.

(iii) Disinvestment: Equity shares of public sector enterprises were sold to private sector and the public. It was expected that this would lead to improved managerial performance and better financial discipline.

(iv) Restructural and Revival: All public sector sick units were referred to Board of Industrial and Financial Re-construction (BIFR). Units which were potentially viable were restructured and which could not be reviewed were closed down by the board.

➤ **Multinational Companies/ Global Enterprises:-**

Multinational company may be defined of a company that has business operations in several countries by having its factories, branches or offices in those countries. But is has its headquarter in one country in which it is incorporated.

Examples: PHILIPS, Coca Cola etc.

Features:-

(i) Huge Capital Resources: MNCs possess huge capital resources and they are able to raise lot of funds from various sources.

(ii) International Operations: A MNC has production, marketing and other facilities in several countries.

(iii) Centralized control: MNCs have headquarters in their home countries from where they exercise control over all branches and subsidiaries. It provides only broad policy framework to them and there is no interference in their day to day operations.

(iv) Foreign Collaboration: Usually they enter into agreements relating to sale of technology, production of goods, use of brand name etc. with local firms in the host country.

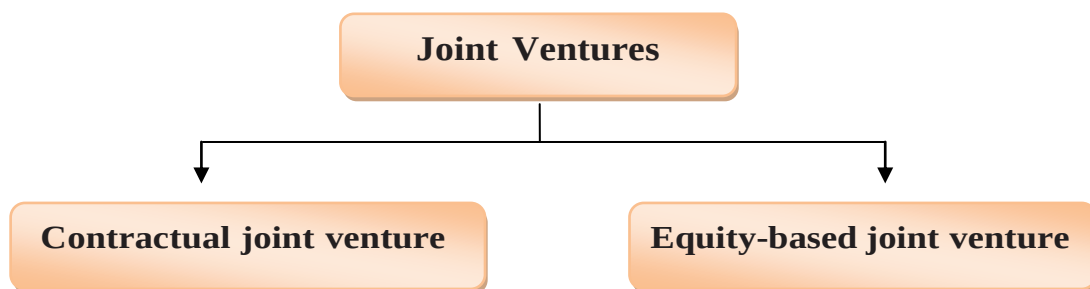
(v) Advanced technology: These organisation possesses advanced and superior technology which enable them to provide world class products & services.

(vi) Product Innovations: MNCs have highly sophisticated research and development departments. These are engaged in developing new products and superior design of existing products.

(vii) Marketing Strategies: MNCs use aggressive marketing strategies. Their brands are well known and spend huge amounts on advertising and sale promotion.

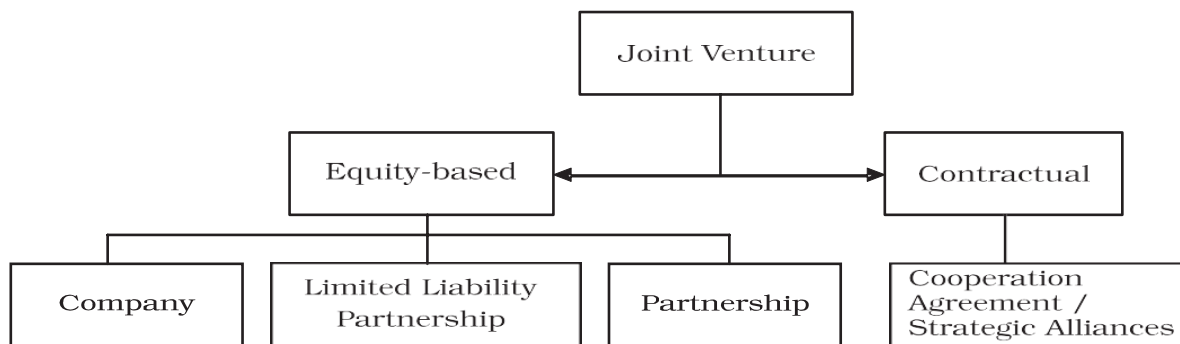
JOINT VENTURES:

When two businesses agree to join together for a common purpose and mutual benefit, it gives rise to a joint venture. Businesses of any size can use joint ventures to strengthen long-term relationships or to collaborate on short term projects. A joint venture can be flexible depending upon the party's requirements. These need to be clearly stated in a joint venture agreement to avoid conflict at a later stage.



Types of Joint Ventures:

1. Contractual Joint Venture (CJV): In a contractual joint venture, a new jointly-owned entity is not created. There is only an agreement to work together. The parties do not share ownership of the business but exercise some elements of control in the joint venture.



A typical example of a contractual joint venture is a franchisee relationship. In such a relationship the key elements are:

- (a) Two or more parties have a common intention – of running a business venture;
- (b) Each party brings some inputs;
- (c) Both parties exercise some control on the business venture; and
- (d) The relationship is not a transaction-to-transaction relationship but has a character of relatively longer duration.

2. Equity-based Joint Venture (EJV): An equity joint venture agreement is one in which a separate business entity, jointly owned by two or more parties, is formed in accordance with the agreement of the parties.

The form of business entity may vary company, partnership firm, trusts, limited liability partnership firms, venture capital funds, etc.

- (a) There is an agreement to either create a new entity or for one of the parties to join into ownership of an existing entity;
- (b) Shared ownership by the parties involved;
- (c) Shared management of the jointly owned entity;
- (d) Shared responsibilities regarding capital investment & other financing arrangements; &
- (e) Shared profits and losses according to the agreement.

Benefits:

Joint ventures can prove to be extremely beneficial for both parties involved. One party may have strong potential for growth and innovative ideas, but is still likely to benefit from entering into a joint venture because it enhances its capacity, resources and technical expertise. The major benefits of joint ventures are as follows:

(a) Increased resources and capacity: Joining hands with another or teaming up adds to existing resources and capacity enabling the joint venture company to grow and expand more quickly and efficiently.

(b) Access to new markets & distribution networks: When a business enters into a joint venture with a partner from another country, it opens up a vast growing market.

(c) Access to technology: Technology is a major factor for most businesses to enter into joint ventures. Advanced techniques of production leading to superior quality products saves a lot of time, energy & investment as they do not have to develop their own technology.

(d) Innovation: The markets are increasingly becoming more demanding in terms of new and innovative products. Joint ventures allow business to come up with something new and creative for the same market.

(e) Low cost of production: When international corporations invest in India, they benefit immensely due to the lower cost of production. They are able to get quality products for their global requirements. India is becoming an important global source and extremely competitive in many products.

(f) Established brand name: When two businesses enter into a joint venture, one of the parties benefits from the other's goodwill which has already been established in the market. If the joint venture is in India and with an Indian company, the Indian company does not have to spend time or money in developing a brand name for the product or even a distribution system.

Public Private Partnership (PPP):-

The Public Private Partnership model allocates tasks, obligations & risks among the public and private partners in an optimal manner. The public partners in PPP are Government entities, i.e., ministries, government departments, municipalities or state-owned enterprises. The private partners can be local or foreign (international) and include businesses or investors with technical or financial expertise relevant to the project. Under the PPP model, public sector plays an important role and ensures that the social obligations are fulfilled and sector reforms and public investment are successfully met. The private sector's role in the partnership is to make use of its expertise in operations, managing tasks and innovation to run the business efficiently.

Features:-

- (i) Facilitates partnership between public sector and private sector.
- (ii) Pertaining high priority project.
- (iii) Suitable for big project (capital intensive and heavy industries).
- (vi) Public welfare example Delhi Metro Railway Corporation.
- (v) Sharing revenue- Revenue is shared between govt. & private enterprises in the agreed Ratio.

USEFUL LINKS:

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SELF ASSESSMENT:

1. Explain the concept of public sector and private sector.
2. State the various types of organisations in the private sector.
3. What are the different kinds of organisations that come under the public sector?
4. State the meaning of public private partnership.
5. What is meant by Joint Ventures? Explain its benefits.
6. Gas Authority of India Ltd. is carrying on various projects of energy and power. Majority of its shares are held by Government of India. It is registered under the Companies Act and enjoys all the characteristics of a company. The company prepares its annual report and submits to appropriate authorities.
 - (i) Name the type of public sector enterprise referred to in the above para.
 - (ii) In whose name does government buy shares?
 - (iii) Where does such public sector enterprises submit their annual report?

-----**END OF CHAPTER**-----